Practice workbook · Partnership agreements and what happens without one

What a written agreement should settle and which section 24 rules apply where there is none.

3 question parts: 1 worked-example retry and 2 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-PIR-02

1. Question 2 · part c · 5 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part c only.

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2 Haitai has been in business for a number of years manufacturing handmade chocolate.

On 1 July 2023, he formed a partnership with another chocolatier, Ming. They agreed to share profits and losses equally.

(a) State **two** reasons, **other than** an injection of capital, why a sole trader would wish to form a partnership with another trader.

(2)

1 .....

.....

2 .....

.....

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1. Question 2 · part c · 5 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part c only.

The partnership provided the following information for the year ended 30 June 2024.

	$
Carriage inwards	42 500
Direct expenses	26 950
Direct factory wages	127 500
Factory overheads	138 000
Factory supervisor's salary	45 000
Insurance paid	34 000
Inventory at 1 July 2023	
Raw materials	68 000
Work in progress	85 278
Finished goods	125 000
Inventory at 30 June 2024	
Raw materials	72 000
Work in progress	96 750
Finished goods	145 000
Non-current assets	
– Cost	200 000
– Provision for depreciation	120 000
Office expenses	232 000
Office salaries	97 000
Purchase of raw materials	550 000
Rent and rates paid	190 000
Revenue	1 787 500

Additional information

- Non-current assets are depreciated at 10% per annum using the reducing balance method of depreciation.
- At 30 June 2024, the amount of rent and rates paid in advance was $2 500 and insurance owing was $1 325
- The partners decided to allocate all costs other than office expenses and office salaries to the factory.

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1. Question 2 · part c · 5 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part c only.

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(b) (i) Prepare the manufacturing account for the year ended 30 June 2024.

(13)

Haitai and Ming
Manufacturing account for the year ended 30 June 2024

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1. Question 2 · part c · 5 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part c only.

Following completion of the manufacturing account the partnership was made aware that some of the costs allocated in full to the manufacturing division should have been apportioned in part to the administration department.

- Insurance and rent and rates should have been apportioned 80% to the factory and 20% to administration.
- The factory machinery accounted for 60% of all non-current assets.
- Carriage outwards accounted for 25% of the carriage inwards charge.

(ii) Calculate the corrected production cost after these adjustments have been made.

(5)

	$	$
Draft production cost		
Corrected production cost		

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1. Question 2 · part c · 5 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part c only.

(c) When the partnership was formed the partners did not draw up a formal partnership agreement.

Advise the partners whether they should draw up a formal partnership agreement.

(5)

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(Total for Question 2 = 25 marks)

1. Question 2 · part c · 5 marks · Working and answer

Working and answer

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2. Question 2 · part d · 4 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

2 (a) State which accounting concept applies in **each** scenario.

(3)

Scenario	Accounting concept
Adjusting expenses for other receivables	
Creating a provision for irrecoverable debts	
Recording goods taken for personal use	

(b) Define the terms:

(i) profitability

(1)

(ii) liquidity.

(1)

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2. Question 2 · part d · 4 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

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A business provided the following information.

Ratio	2018	2017
Gross profit percentage	23.50%	20.00%
Profit for the year as a percentage of revenue	15.97%	12.47%
Current (working capital) ratio	2.89:1	1.75:1
Liquid (acid test) ratio	1.57:1	0.87:1

(c) Evaluate the performance of the business over the two years.

(5)

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2. Question 2 · part d · 4 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

(d) Identify, indicating with a tick (✓), which statements are true or false in the absence of a partnership agreement according to section 24 of the Partnership Act 1890.

The first one has been completed as an example

(4)

	True	False
Profits and losses are shared equally	✓	
5% interest on capital		
No interest on drawings		
5% interest on partners' loan		
All partners receive a salary		

(e) Discuss the need for a partnership to prepare different accounts from those prepared by a sole trader.

(6)

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2. Question 2 · part d · 4 marks · Working and answer

Working and answer

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3. Question 2 · part a · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part a only.

2 (a) Explain why it is advisable to draw up a partnership agreement when forming a new partnership.

(3)

Joan and Lewis are in partnership sharing profits and losses equally.

The partnership agreement provides for:

- interest of 8% per annum on opening capital balances
- an annual salary of $17 000 for Lewis
- interest of 5% per annum on total drawings
- interest of 6% per annum on partnership loans.

(b) Explain **one** reason why a partner may decide to provide a loan to the partnership rather than investing more capital.

(2)

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3. Question 2 · part a · 3 marks · Working and answer

Working and answer

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